

July 17, 2026 02:29 PM GMT

LVMH | Europe

Champagne exports accelerated in 2Q26

Key Takeaways

- Industry data for champagne sales in June has just been published.
- In volume (million of bottles), total sales increased +3.8% YoY in June.
- The export market, however, was up +8% in volumes YoY in June (up +4% YTD). The champagne export market is dominated by LVMH (~50% share in value, we estimate).
- VA Consensus currently expects Champagne & Wines OSG up+1.4% YoY in 2Q26 after a +5% YoY posted in 1Q26.
- This suggests small upside risk to sales in 2Q26 when the Group reports on July 27 (although the impact would be clearly modest within the scope of the Group, <4% of sales).

What's new? The CIVC, the Champagne industry body, has released June figures for the sector.

Bottom line: Overall Champagne volume growth remains anemic so far this year (up only +1% 1H26). However, exports have been accelerating in recent months, up +6.3% YoY in 2Q26 in volume terms. With LVMH generating >80% of its sales in value terms in the export market and dominating the category, this suggests some upside risk to the Champagne & Wines sales vs current consensus estimates for 2Q26.

What the Champagne data says for June: As per the CIVC, Champagne sales by volume were up +4% YoY in June after -1.0% in May and flat in April. YTD total industry volumes are up +1%. Exports were up a solid +8% YoY in June, while shipments domestically declined -2% YoY (vs. -4% in May). Year-to-date, exports are up +4% in volume (with 1Q26 up +3.7% YoY and 2Q26 +6.3% YoY). YTD, sales in volume in France are down -3%, marking the weakest starts to the year in absolute terms for a long time, excluding the Covid-affected year of 2020.

LVMH is very significantly more exposed to the export market: in 2025, we estimate that LVMH shipped ~52m bottles outside France vs only ~8m in France (a ~14% / ~86% split). With a total of 60m bottles shipped in 2025 vs an industry total of 266m, LVMH has a market share in volume terms of ~23%. However, as per our estimates above, LVMH has an export market share in volume terms of ~34% (and thus ~50% in value terms), as per our estimates, as prestige brands such as Veuve Cliquot, Dom Perignon or Ruinart tend to generate a very high share of their worldwide sales outside of France.

For example, as can be seen in [Exhibit 9](#), LVMH dominates the US champagne

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LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA, MC FP)

Brands | France

Stock Rating	Equal-weight
Industry View	In-Line
Price target	€540.00
Shr price, close (Jul 16, 2026)	€503.10
52-Week Range	€654.70-440.00
Mkt cap, curr (mn)	€250,532
Net debt (12/26e) (mn)*	€3,254
EV, curr (mn)*	€258,865

* = GAAP or approximated based on GAAP

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Sales / Revenue (€mn)**	80,807	80,542	85,326	91,603
EBIT (€mn)**	17,755	17,370	19,261	21,001
EPS (€)**	22.73	21.72	25.74	28.21
Prior EPS (€)**	-	-	-	-
ModelWare EPS (€)	22.73	21.72	25.74	28.21
EPS (€)§	21.44	22.01	25.24	27.67
P/E**	28.4	23.2	19.5	17.8
EV/revenue*	4.1	3.2	2.9	2.7
EV/EBIT**	18.6	14.7	13.1	11.8
Total dividends per share (€)	10.91	10.42	12.36	13.54
Div yld (%)	1.7	2.1	2.5	2.7
FCF yld ratio (%)**	3.5	4.5	5.0	5.6
Net debt (€mn)*	6,856	3,254	(1,174)	(6,207)
RNOA (%)**	11.3	11.7	12.8	13.6
ROE (%)**	16.8	16.0	17.6	17.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

* = GAAP or approximated based on GAAP

e = Morgan Stanley Research estimates

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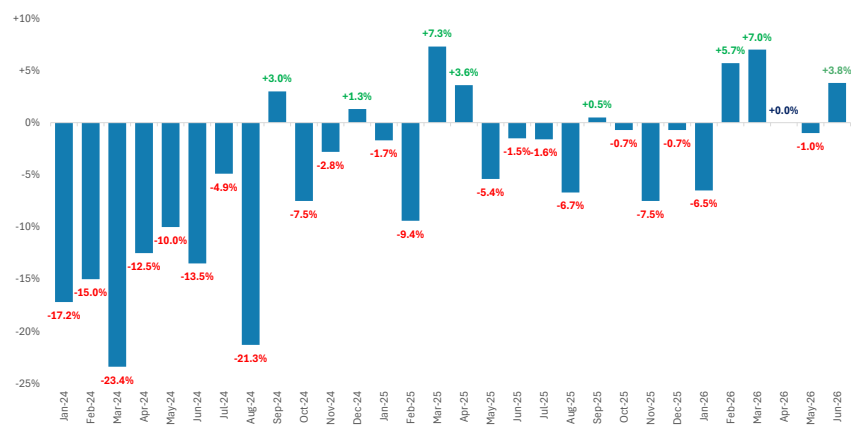
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market. According to data recently published by Circana, thanks to Veuve Clicquot and Moët & Chandon's very strong market share in that market, the LVMH Group has a combined market share (in value terms) of about two-thirds. Veuve Clicquot's dominance is especially striking, with the US absorbing roughly 40% of its total production (vs. just 10% for the industry overall).

What the Champagne data says for the full year 2025. As per the CIVC, 266m Champagne bottles were shipped last year and Champagne Houses generated a combined turnover of €5.17bn. This is down -2% from 271.4m bottles shipped in 2024 (with France -4% and Exports down -1%) and marks the third consecutive year of decline.

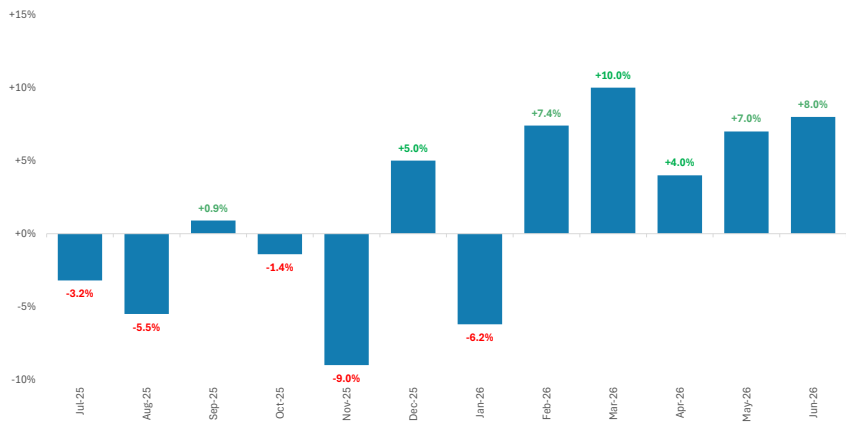
Trends in the Champagne market in recent years. In recent years, Champagne consumption has been under pressure, as can be seen in the charts below, impacted by a number of cyclical and structural factors, such as: 1) Shifting consumer tastes & behaviors: alcohol consumption is contracting in key markets, particularly among younger demographics, who drink less alcohol overall and are more health-focused; 2) Champagne demand is tied to mood and confidence; weaker consumer confidence in markets such as Europe over the last few years has dampened buying. We note that Champagne consumption in France has been particularly weak over the past few years and that it has remained so YTD in 2026; 3) Competitive alternatives: Sparkling wines like Prosecco have proved resilient and grown their share, often at lower price points, drawing consumers away from Champagne. As per IWSR data, most leading Champagne brands have raised prices very materially over the past five to six years, pricing out the middle consumer (as has happened for the personal luxury goods market more broadly). Partially offsetting these adverse developments, the industry is structurally premiumising, which benefits LVMH (as it owns the majority of the leading prestige brands).

Exhibit 1: Champagne Shipments Growth YoY (in volume)



Source: CIVC, Morgan Stanley Research

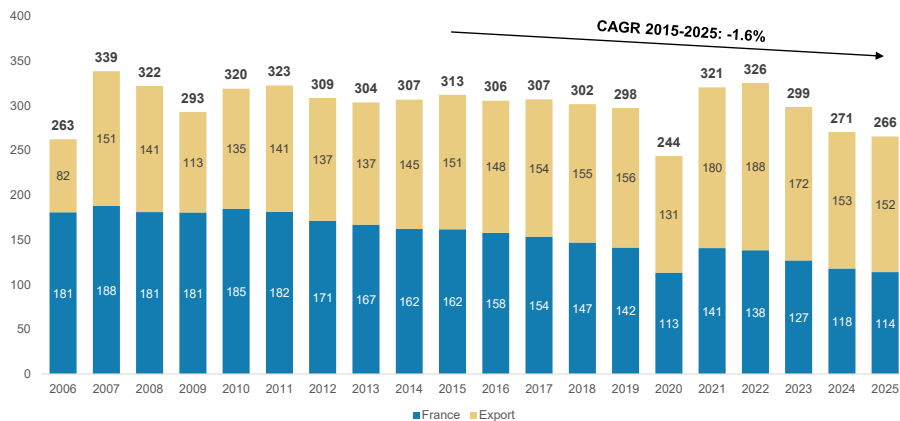
Exhibit 2: Champagne Exports Growth YoY (in volume)



Source: CIVC, Morgan Stanley Research

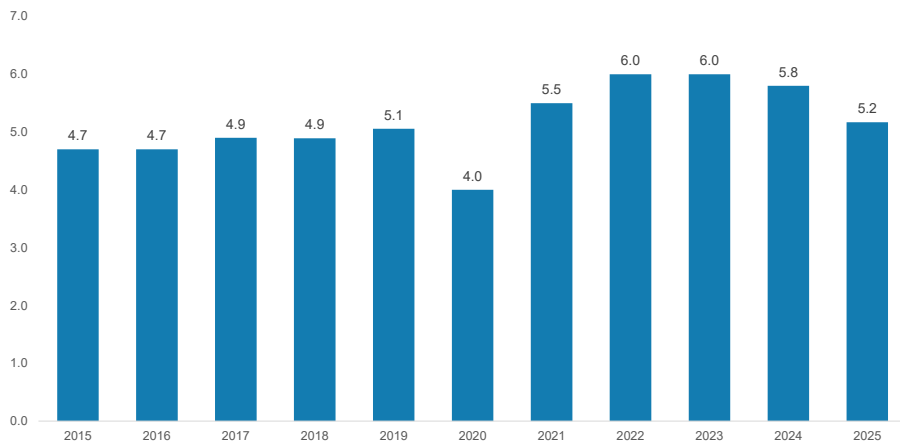
Additional Charts

Exhibit 3: Champagne Shipments over time (number of bottles)



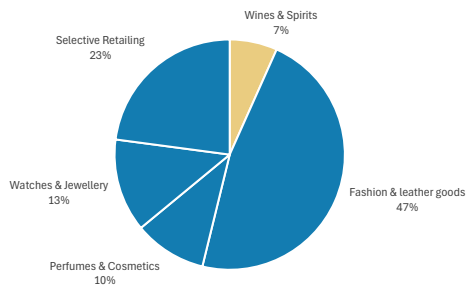
Source: Champagne.fr, Morgan Stanley Research

Exhibit 4: Champagne Turnover (billion euros)



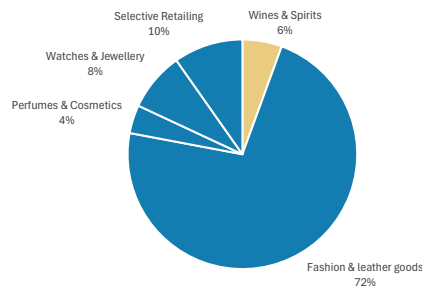
Source: Champagne.fr, Morgan Stanley Research

Exhibit 5: LVMH Sales breakdown by division in 2025



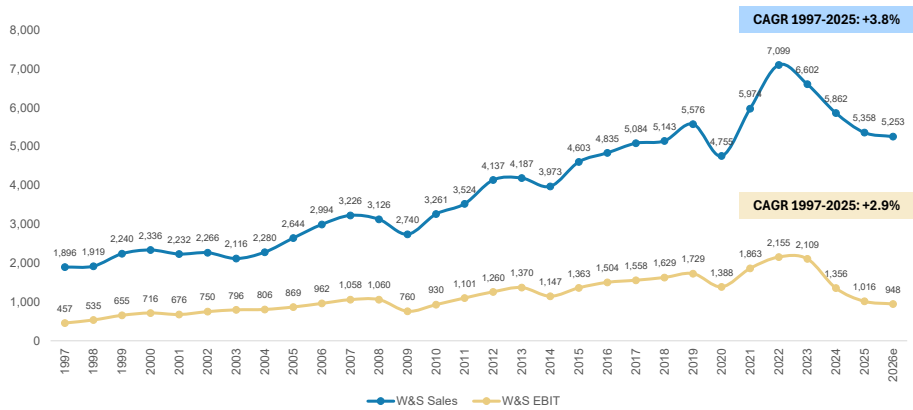
Source: Company data, Morgan Stanley Research

Exhibit 6: LVMH EBIT breakdown by division in 2025



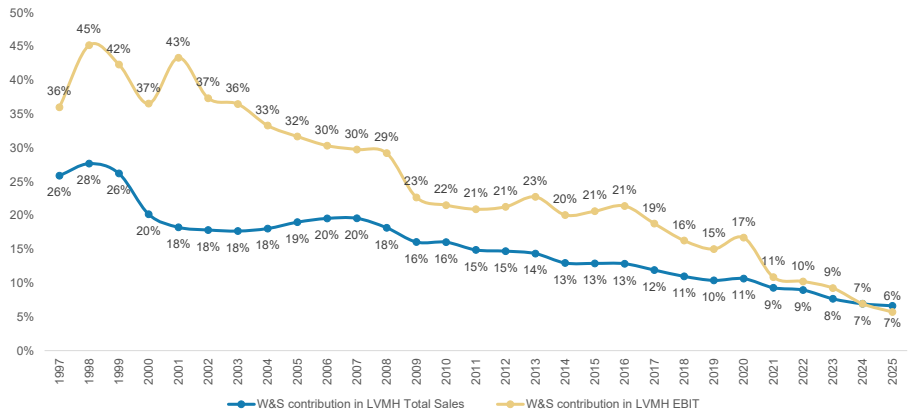
Source: Company data, Morgan Stanley Research

Exhibit 7:
Champagne and Wines contribution to LVMH Total Sales & EBIT since 1997



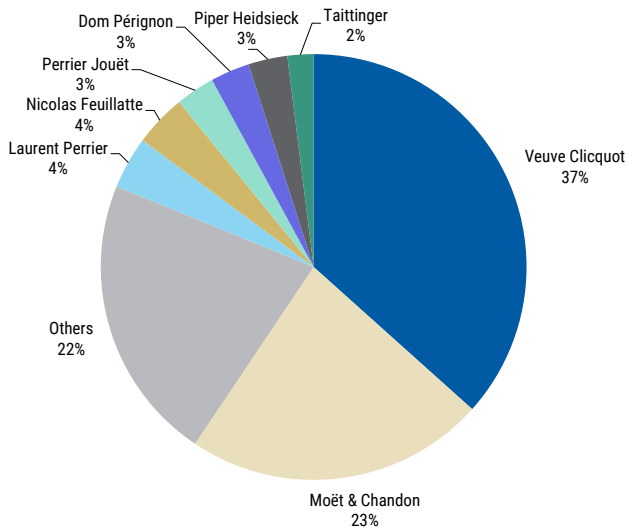
Source: Company data, Morgan Stanley Research estimates

Exhibit 8: Wines & Spirits (includes champagne, cognac, etc.) contribution in LVMH Total Sales & EBIT since 1997



Source: Company data, Morgan Stanley Research

Exhibit 9: US Champagne Market Share by Brand in 2025 (in value)



Source: Circana, Morgan Stanley Research

Valuation Methodology and Risks

LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)

We use a DCF-based valuation methodology, which we think best reflects LVMH's margin potential and cash flow. We assume a WACC of 8.8% and long-term growth rate of 2.8%.

Risks to Upside

- Chinese luxury consumption accelerates more than expected
- Demand in the West does not contract next year

Risks to Downside

- A slowdown in Chinese consumer spending remains the biggest risk for LVMH and peers
- Vertical integration (mostly downstream) results in operational deleverage

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(as of June 30, 2026)

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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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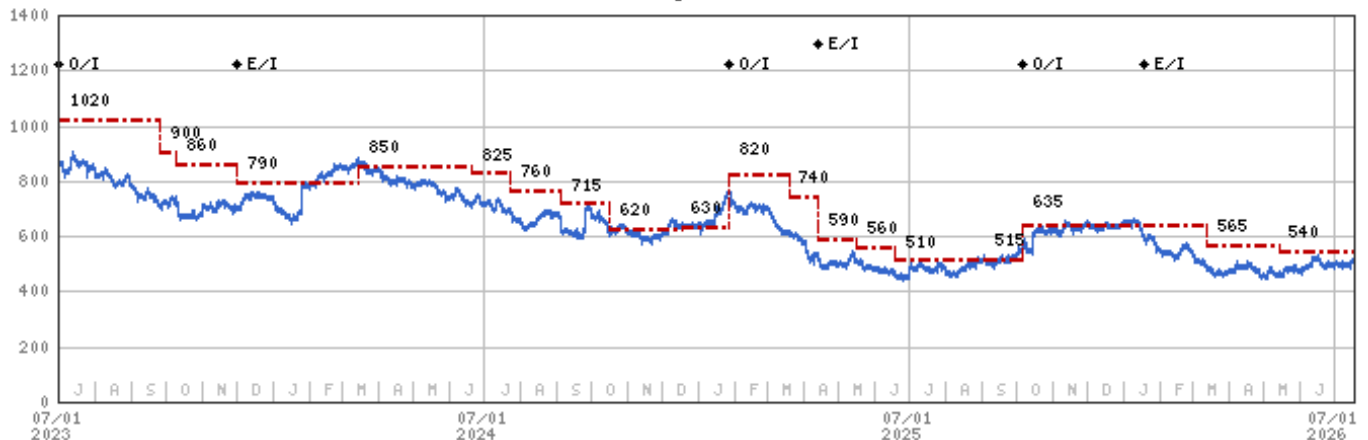
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LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA) - As of 07/17/26 GMT in EUR
Industry : Brands



Stock Rating History: 7/1/21 : O/I; 12/1/23 : E/I; 1/27/25 : O/I; 4/14/25 : E/I; 10/6/25 : O/I; 1/19/26 : E/I

Price Target History: 6/8/21 : 695; 7/26/21 : 760; 1/18/22 : 820; 1/28/22 : 835; 9/23/22 : 765; 1/17/23 : 880; 4/12/23 : 935; 4/25/23 : 1020; 9/26/23 : 900; 10/10/23 : 860; 12/1/23 : 790; 3/14/24 : 850; 6/20/24 : 825; 7/23/24 : 760; 9/4/24 : 715; 10/16/24 : 620; 12/17/24 : 630; 1/27/25 : 820; 3/19/25 : 740; 4/14/25 : 590; 5/16/25 : 560; 6/19/25 : 510; 9/4/25 : 515; 10/6/25 : 635; 3/13/26 : 565; 5/14/26 : 540

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€182.95
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$44.31
Ferrari NV (RACE.N)	O (06/15/2026)	US\$382.58
Ferrari NV (RACE.MI)	O (06/15/2026)	€334.05
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,706.00
Kering (PRTP.PA)	E (04/10/2026)	€255.40
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€503.10
Richemont SA (CFR.S)	O (02/05/2025)	SFr 197.40
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,121p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€169.50
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€37.90
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$8.09
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 800.60
PUMA SE (PUMG.DE)	++	€29.37
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 48.68
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€83.64
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$14.43
Moncler SpA (MONC.MI)	E (06/22/2026)	€52.08
Prada SpA (1913.HK)	E (06/29/2026)	HK\$41.16
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€10.59

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.